



ORGANISATIONS REALISED THAT PEOPLE MAKE A COMPANY. RAW MATERIALS OR FACTORY ASSETS DON'T—THEY ARE ESSENTIAL, BUT THAT'S THE EXTENT OF IT

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PHOTO BY **SANDESH RAVIKUMAR**



NOW YOU'LL SEE MORE COMPANIES FOCUSING ON SOLVING ONE SPECIFIC PROBLEM, SPECIFIC VERTICALS OR SPECIFIC TARGET AUDIENCES LIKE BLUE-COLLAR, WHITE COLLAR

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tions like finance, supply chain as well as manufacturing processes.”

With the pandemic shining a spotlight on the HR department and employee experience, several of these start-ups have been attracting investor bucks as well—more than \$900 million between January 2021 and April 2022, according to Venture Intelligence. That's only a fraction of the billions flowing into edtech and fintech, but two HR tech unicorns have come up so far, one of which is HRMS provider Darwinbox. The end-to-end-suite provider, which counts steel giant JSW and new-age firm bigbasket among its clients, says its mobile-first offering developed for the Asian market sets it apart from multi-billion-dollar MNCs like SAP and Oracle. “Culturally, the ability to marry (in your portfolio) up-and-coming e-commerce companies and huge promoter-driven business concentration meant there is a need for a lot of approvals, but with the need for a lot of customisation and individualisation,” says its Vice President and Global Head of Transformation, Vijayshankar Ananthanarayan.

“That's how HR tech start-ups are: either they solve for problems for which there was no solution provider,” says Blume Ventures' Director Sajith Pai, referring to its portfolio company—blue-collar workforce management firm Smartstaff—which also finds temporary workers for clients when there is a shortfall. “Or the solution provider existed but was not able to cater properly (at your scale or geography).” They typically fall into one of three buckets—HRMS providers, hiring and recruitment firms like Apna.co (which is the other HR Tech unicorn), and niche players such as tech assessment firm HackerRank, on-demand interview platform Monjin, or corporate health insurance start-ups such as Onsurity and Nova Benefits.

“SMEs have both white-collar and blue-collar employees. The latter category has high attrition due to tough competition from the app-based delivery companies, which are able to offer health benefits. SMEs are not able to do the same and are unable to retain that talent,” says Onsurity Co-founder Kulin Shah. Although more of a health tech start-up for SMEs, Onsurity offers employee health benefits and insurance, another crucial sub-sector after the pandemic. Now, the founders say, they are also getting requests from larger organisations.

WITHIN THE PROBLEMS being solved, some have more popular use cases than others. Trident's Group CHRO Pooja B. Luthra says, “I don't know of one organisation that is not using HR tech in some way or the other, especially in recruitment. Definitely in learning management, too. That's the second most commonly used [area], I find.” Pai is also betting on a pure-play learning and development (L&D) unicorn emerging. Again, with the pandemic exac-